THE SESSION · POST-CLOSE READ

Tech Slides, *Oil Climbs*

The S&P 500 fell 1.07% and the Nasdaq fell 2.14% as the AI-linked decline extended and Brent rose to near $110 a barrel, while the Dow slipped 0.34%. Dividend Strategy −0.19% beat SPY and trailed DVY; Growth Portfolio −2.36% trailed IUSG.

S&P 500 ▼ 1.07% · NASDAQ ▼ 2.14% · DOW ▼ 0.34% · VIX ▲ 21.45% · BRENT ▲ 3.62%

DIVIDEND STRATEGY

BEAT SPY · TRAILED DVY

−0.19% 1-DAY

FCI	−0.19%
DVY	+0.78%
SPY	−1.11%

YTD **+19.72%** vs DVY +15.48% · SPY +12.80%

GROWTH PORTFOLIO

▼ TRAILED IUSG

−2.36% 1-DAY

FCI	−2.36%
IUSG	−1.92%

YTD **+16.78%** vs IUSG +13.16%

THE SESSION

Stocks fell on Friday as the decline in AI-linked stocks extended, with investors weighing whether companies that rely on debt markets can keep borrowing and spending at their current pace, and crude oil climbed. The S&P 500 fell 1.07% to 7,661, the Nasdaq fell 2.14% to 26,140 and the Dow fell 0.34% to 52,002; the VIX rose 21.45% to 19.99. The 10-year Treasury yield closed at 5.09%, little changed from 5.10% a day earlier, and the 30-year was unchanged at 5.43%. Brent rose 3.62% to near $110 a barrel amid the absence of a U.S.–Iran deal and continued concern over Strait of Hormuz flows. Fed Chair Kevin Warsh offered no new signals on policy. IBIT fell 0.94% and ETHA fell 1.62%.

The Dividend Strategy fell 0.19%, behind DVY's 0.78% gain by 0.97 point and ahead of SPY's 1.11% decline by 0.92 point, with fourteen of twenty-five holdings higher. Lockheed Martin rose 3.65% to $552.09 and added about 0.15 point, Old Republic rose 2.56% and added about 0.10 point, and General Dynamics rose 2.14%, adding about 0.09 point. Broadcom fell 4.52% and subtracted about 0.31 point, Qualcomm fell 3.53% and subtracted about 0.17 point, and Lam Research fell 4.87%, subtracting about 0.16 point amid the decline in semiconductor stocks.

Sessions in which AI-linked stocks decline sharply tend to show the value of owning cash-generative businesses across several parts of the economy, including defense, energy and insurance. ***Think Like an Owner.***

The Growth Portfolio fell 2.36%, behind IUSG's 1.92% decline by 0.44 point, with four of twenty-five holdings higher and twenty-one lower. ServiceNow fell 4.44% to $141.95 and subtracted about 0.39 point, Robinhood fell 4.92% and subtracted about 0.26 point, and Hut 8 fell 10.96%, subtracting about 0.23 point. Energy holdings helped at the margin: CNX Resources, ONEOK and Chevron together added about 0.21 point. On the year, the Dividend Strategy stands at +19.72% against DVY's +15.48%, a +4.24-point spread, with SPY at +12.80%; the Growth Portfolio stands at +16.78% against IUSG's +13.16%, a +3.62-point spread.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

CNX +3.73% GROWTH
Rose to $35.91.

LMT +3.65% DIVIDEND
Rose to $552.09 without a company-specific catalyst.

OKE +2.93% GROWTH
Rose to $93.31.

CVX +2.58% GROWTH
Rose to $224.98 as Brent moved toward $110.

DECLINERS

HUT −10.96% GROWTH
Fell to $67.75 amid the broader decline in AI-linked stocks.

FTNT −7.03% GROWTH
Fell to $169.13 without a company-specific catalyst.

AMD −5.95% GROWTH
Fell to $528.75 amid a sector decline in semiconductor stocks.

MRVL −5.56% GROWTH
Fell to $227.83 amid a sector decline in semiconductor stocks.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY
+19.72%
vs DVY +15.48% / SPY +12.80%
Spread vs DVY **+4.24 pts**

GROWTH PORTFOLIO
+16.78%
vs IUSG +13.16%
Spread vs IUSG **+3.62 pts**

SOURCES

1. The Associated Press (via BNN Bloomberg), "U.S. Markets Weighed Down by Extended Sell-Off in the Tech Sector," Oct. 16, 2026.
2. U.S. Department of the Treasury, Daily Treasury Par Yield Curve Rates, Oct. 15–16, 2026.
3. Market data: Financial Modeling Prep. Strategy returns: Paradiem FCI portfolio records.